

it would be impossible to discuss these in depth. However, the following are three of the most salient principles.

First, spend time educating yourself about the product you plan to trade; that is, the various statistics and other factors that affect the supply–demand equation and therefore the price of the product. Implicit in this requirement is the corollary that you cannot rely solely on another's opinion. For example, if you use a broker, never take his word as gospel. While you should listen to what he has to say because he is an expert, you would be foolish to rely solely on his information or interpretation of the facts. This will also require that you fully understand the broker's jargon and reasoning, which again requires some personal education.

The second most important principle is not to overtrade. This cannot be defined in terms of money or in terms of the number of trades per week, month, or year. It will depend on your proximity to the market—how closely you can monitor price movement, the amount of time spent studying the product, and the objectives of your trading plan. Overtrading will overexpose you to risk and danger, as well as to unnecessary commissions. Consequently, you must accept that you cannot participate in every market move, nor should you want to. The most successful trader who is not daily on the trading floor of the exchange will pick his spots carefully. Futures prices have trends as well as seasonal movements. Concentrate on these rather than the daily fluctuations, which are best left to the professionals. A successful trader who chooses his moves judiciously needs to be correct only 30 to 40 percent of the time. On the other hand, a non-member trader attempting to trade daily must maintain a profitable track record 60 to 70 percent of the time to come out ahead.

The third principle is to follow a predetermined trading plan; a set of rules or established guidelines that you believe are valid, that have withstood the test of time, and that will guide your decisions. There is not one special formula or one set of trading rules. There are many. If you are not a profes-